

Low Relative Price Important. It is technically desirable that the price of a warrant be low not only in itself but also in relation to the price of the common stock. This point may be shown by a comparison of Commercial Investment Trust Corporation Warrants in 1928 with American and Foreign Power Company Warrants in 1933.

Examples: Commercial Investment Trust Corporation Warrants sold at \$6 each in August 1928. They entitled the holder to buy $\frac{1}{2}$ share of common at \$90 per share until the end of 1929 and at 100 thereafter until January 1, 1931. The common was then selling at about 70. The warrant for 1 share thus represented a commitment of \$12, or about $\frac{1}{6}$ the current value of the stock. Despite the relatively high purchase price specified in the warrant, the latter might be considered as having a speculative advantage over the stock because of the much smaller money cost involved. (As it happened, the price of the warrants advanced elevenfold in 1928–1929 as against a threefold rise in the common.) As shown in Chap. 48, in November 1933, warrants for one share of American and Foreign Power could be bought at 7, representing exact parity with the common. But the fact that the common was itself selling at only 10 removed any special speculative advantage from the warrants at 7. As we shall see later, it throws the stock and the warrants together into the category of “pseudo” low-priced speculations, of the kind discussed at the beginning of Chap. 41.

The foregoing discussion leads to the conclusion that a given option warrant has speculative attractiveness, in a technical sense, only if it constitutes a low-cost, long-term right to purchase a stock at a price not too remote from the current market.⁵

Examples: The Sinclair Oil and Commercial Investment Trust Warrants, referred to above, are examples that met these requirements. An unusual example is furnished by the Barnsdall Oil warrants in 1927. These were a call on the stock at 25. When the shares were selling at 31, the warrants sold at 6, exactly at parity. In this case, any rise in the value of the stock would have meant—and later did mean—a much larger proportionate rise in the price of the warrants.

⁵ See Dewing, Arthur S., *A Study of Corporation Securities*, pp. 404–405, New York, 1934, for a study of the relative attractiveness of warrants and their related common stocks as speculative vehicles.